

Financial Glossary

Educational reference for the Stock Research & Portfolio Assistant RAG knowledge base. Definitions are intended to explain common financial concepts in clear language and are not investment advice.

P/E Ratio (Price-to-Earnings Ratio)

A valuation ratio comparing a company's share price with its earnings per share (EPS). A higher P/E can indicate that investors are paying more for each unit of current earnings; interpretation depends on the company, industry and growth expectations.

P/B Ratio (Price-to-Book Ratio)

Compares a company's market value with its book value. It is often used alongside other measures, particularly when assessing companies with substantial tangible assets.

EPS (Earnings Per Share)

The portion of a company's profit attributable to each outstanding common share. EPS is commonly used in valuation ratios such as P/E.

Revenue

The income a company generates from its normal business activities before deducting expenses.

Net Profit

The amount remaining after a company deducts operating costs, interest, taxes and other applicable expenses from its income.

Profit Margin

A measure of how much profit a company generates from its revenue, usually expressed as a percentage. Net profit margin is commonly calculated as net profit divided by revenue.

ROE (Return on Equity)

A profitability measure showing how effectively a company generates profit relative to shareholders' equity. It is generally expressed as a percentage.

Debt-to-Equity Ratio

A leverage ratio comparing a company's debt with shareholders' equity. Higher leverage can increase financial risk, but appropriate levels vary by industry and business model.

Market Capitalization

The total market value of a company's outstanding shares. It is generally calculated as share price multiplied by shares outstanding.

Dividend Yield

A measure relating annual dividends per share to the current share price, usually expressed as a percentage. It can change when the share price changes.

Beta

A measure of how a security's historical price movements have varied relative to a benchmark. A beta above 1 indicates greater historical sensitivity than the benchmark; beta below 1 indicates lower historical sensitivity.

Volatility

A statistical measure of how much an asset's price or returns fluctuate over time. Higher volatility means larger historical price movements, but it does not by itself indicate the direction of future prices.

Portfolio

A collection of investments held by an investor or entity.

Portfolio Weight

The percentage of a portfolio allocated to a particular investment. Portfolio weights normally add up to 100%.

Diversification

Spreading investments across different assets, sectors or other exposures so that the portfolio is not dependent on a single source of risk.

Concentration Risk

The risk that a portfolio is heavily exposed to one company, sector, asset class or other factor. Greater concentration can increase the effect of an adverse event affecting that exposure.

Annualized Return

A return measure expressed on a yearly basis. It allows performance over different periods to be compared on a common annual scale.

Annualized Volatility

A measure of the historical variability of returns expressed on an annual basis. It is commonly used as an indicator of investment risk.

Bull Market

A period characterized by generally rising market prices. The term describes market conditions and does not guarantee future price increases.

Bear Market

A period characterized by generally declining market prices. The term describes market conditions and does not guarantee future price declines.

Liquidity

The ease with which an asset can be bought or sold without causing a significant change in its price.

Benchmark

A reference index or standard used to compare the performance or characteristics of an investment or portfolio.

Risk-Return Relationship

The principle that investment decisions involve considering both potential returns and the risks associated with achieving those returns. Historical relationships do not guarantee future outcomes.

Intrinsic Value

An estimate of what an asset may be worth based on assumptions, financial analysis or valuation methods. Different analysts can produce different estimates.

Capital Gain or Loss

The increase or decrease in an asset's value between its purchase price and its later sale price, before considering applicable costs and taxes.

Current Ratio

A liquidity ratio comparing current assets with current liabilities. It is commonly used to assess a company's ability to meet short-term obligations.

Free Cash Flow

Cash generated by a business after accounting for capital expenditures. It is often examined when evaluating a company's ability to fund operations, investments, debt repayment or distributions.

EBITDA

Earnings before interest, taxes, depreciation and amortization. It is a commonly used operating-performance measure, but it is not the same as cash flow or net profit.

Revenue Growth

The percentage change in a company's revenue between two periods. It can be calculated for quarterly, annual or other reporting periods.

Financial Ratio

A numerical relationship between financial statement or market data used to analyze profitability, liquidity, leverage, efficiency or valuation.

Important Note

Financial ratios should not be interpreted in isolation. Meaning can vary by company, industry, accounting practices, market conditions and the period being analyzed. Historical data and ratios do not guarantee future performance. This glossary is for educational and research purposes only and is not investment advice or a recommendation to buy or sell any security.